

# Minimax Group (100 HK)

 Target price: **HKD530.00**

 Share price (11 Aug): **HKD328.00** | Up/downside: **+61.6%**

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**Buy**  
 (initiation)

## Initiation: fuelling China's AI commercialisation boom

- Dual strengths in capability and efficiency drive monetisation potential
- Multi-modality strategy broadens commercial applicability
- Initiating with a Buy (1) rating and 12-month TP of HKD530

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**Investment case:** We initiate coverage of MiniMax, a leading foundation model developer in China, with a Buy (1) rating. Through its dual focus on competitive model capabilities and cost efficiency, MiniMax is one of the few listed pure-play beneficiaries of China's AI commercialisation trend.

**Competitive capability, fractional cost.** MiniMax has steadily narrowed the capability gap with leading Western model developers while maintaining a strong cost-efficiency advantage. Despite significantly lower R&D spend and fewer resources, its flagship M3 model currently ranks competitively on global benchmarks, underscoring the company's strength in model development and execution. We believe MiniMax's differentiated performance-to-cost proposition positions it well to capture growing AI demand, particularly among cost-conscious enterprises and developers.

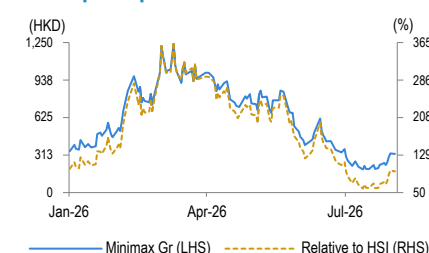
**Multi-modality driving the B2B-B2C flywheel.** We believe MiniMax's full-modality strategy broadens its applicability across AI agents and next-gen AI applications. Its integrated B2C and B2B ecosystem creates a commercialisation flywheel, where consumer products drive model iteration and monetisation, while APIs/MaaS provide a scalable pathway for enterprise deployment and recurring revenue growth. We forecast total revenue to rise at a 180% CAGR over 2025-29E, with revenue from Open Platform and AI-based enterprise services (232% 2025-29E CAGR) outpacing that of AI-native products (138% 2025-29E CAGR). We also expect continuous margin improvement over 2026-28E, supported by operating leverage as commercialisation pace improves.

**Catalysts:** 1) Positive usage traction and ranking performance of video generation model H3; 2) successful launch of large-scale text model M3 Pro with a narrowed capability gap with frontier players; 3) new AI-native products gaining user and monetisation traction; 4) a step-up in annual recurring revenue (ARR); and 5) easing chip supply constraints in China.

**Valuation:** We initiate coverage of MiniMax with a Buy (1) rating and 12M TP of HKD530, derived by applying a 2029E EV/ARR of 5x, and discounting back 2.5 years at a discount rate of 15%. While its share price has fallen over 70% from its peak of HKD1,238 in March amid intensifying competition, we believe the sell-off has been excessive relative to the company's fundamentals and growth prospects. In our view, the recent weakness presents an attractive entry point, with upside catalysts that should support a valuation rerating in the next 12 months.

**Risks:** Intensifying competition among AI model developers and slower-than-expected execution of R&D investments.

## Share price performance



|                              |                               |
|------------------------------|-------------------------------|
| 12-month range               | 193.10-1,238.00               |
| Market cap (USDbn)           | 13.11                         |
| 3m avg daily turnover (USDm) | 242.02                        |
| Shares outstanding (m)       | 314                           |
| Major shareholder            | Alisoft China Holding (14.8%) |

## Financial summary (USD)

| Year to 31 Dec           | 26E     | 27E     | 28E     |
|--------------------------|---------|---------|---------|
| Revenue (m)              | 377     | 1,115   | 2,472   |
| Operating profit (m)     | (499)   | (598)   | (410)   |
| Net profit (m)           | (335)   | (300)   | (27)    |
| Core EPS (fully-diluted) | (1.067) | (0.955) | (0.087) |
| EPS change (%)           | n.a.    | n.a.    | n.a.    |
| Daiwa vs Cons. EPS (%)   | n.m.    | n.m.    | n.m.    |
| PER (x)                  | n.a.    | n.a.    | n.a.    |
| Dividend yield (%)       | 0.0     | 0.0     | 0.0     |
| DPS                      | 0.000   | 0.000   | 0.000   |
| PBR (x)                  | n.a.    | n.a.    | n.a.    |
| EV/EBITDA (x)            | n.a.    | n.a.    | n.a.    |
| ROE (%)                  | n.a.    | n.a.    | n.a.    |

Source: FactSet, Daiwa forecasts

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## How do we justify our view?


**Buy**  
 (initiation)

Growth outlook

✓ ✓ ✓ ✓ ✓

Valuation

✓ ✓ ✓ ✓ ✓

Earnings revisions

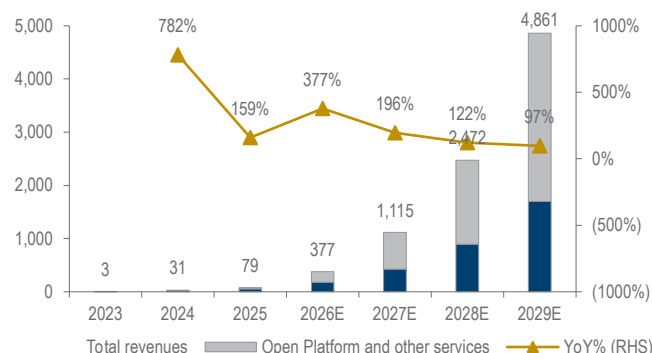
✓ ✓ ✓ ✓ ✓

### Growth outlook

✓ ✓ ✓ ✓ ✓

We believe MiniMax is poised for strong growth over 2026-29E as global AI adoption scales. We forecast MiniMax's total revenue to grow at a 180% CAGR during 2025-29E, with revenue from Open Platform and AI-related services (232% 2025-29E CAGR) outpacing that of AI-native products (138% 2025-29E CAGR). In our view, B2B revenue is likely to see exponential growth as companies race to integrate AI into everyday workflows in a competitive efficiency race, supporting a scalable recurring revenue stream. Meanwhile, we expect consumer-facing products to maintain robust growth on rising user adoption. We also expect margin improvement driven by operating leverage as commercialisation pace improves.

### MiniMax: revenue and revenue growth (USDm)



Source: Company, Daiwa forecasts

### Valuation

✓ ✓ ✓ ✓ ✓

Our 12M TP of HKD530 is based on a 2029E EV/ARR multiple of 5x, and discounting back 2.5 years at a discount rate of 15%. Our 5x target multiple represents a substantial discount to its peers, including 25x based on last round EV/ARR on street estimates for OpenAI, 16x for Anthropic and 63x for MoonShot, as implied by reported transactions. As compared with leading players that focus on state-of-the-art intelligence, we believe MiniMax's strategic focus on commercial applicability warrants a relatively conservative valuation. While Minimax's stock price has fallen over 70% from its peak amid rising competition, we believe the sell-off has been excessive. We see the recent weakness creating an attractive entry point ahead of multiple upside catalysts that could support a rerating.

### MiniMax: valuation summary

|                                  | 2029E         |
|----------------------------------|---------------|
| Sales (USDm)                     | 4,861         |
| Average ARR (USDm)               | 5,715         |
| Target EV/ARR multiple (x)       | 5x            |
| <b>Enterprise value (USDm)</b>   | <b>28,575</b> |
| Net debt (USDm)                  | -1,795        |
| <b>Equity value (USDm)</b>       | <b>30,370</b> |
| Shares outstanding (m)           | 314           |
| Discount rate (%)                | 15%           |
| Years to discount                | 2.5           |
| <b>Target price in 12M (HKD)</b> | <b>530</b>    |

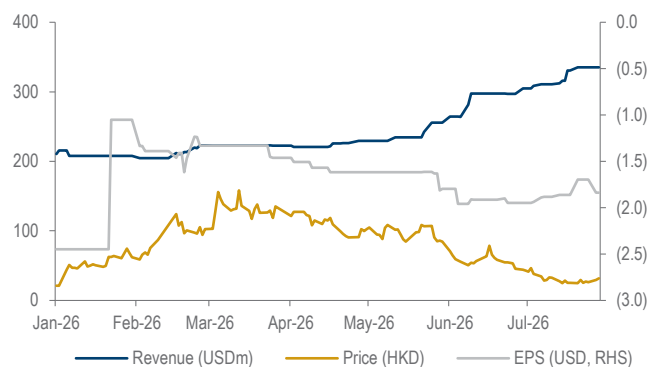
Source: Daiwa estimates

### Earnings revisions

✓ ✓ ✓ ✓ ✓

The Bloomberg consensus has steadily raised MiniMax's 2026E revenue forecasts since its listing, driven by rapid AI market growth, rising global AI adoption, and the company's compelling performance-to-cost proposition, which positions it to benefit from growing enterprise AI spending. Meanwhile, 2026E EPS forecasts have been trending down amid concerns over rising competition and ongoing investment requirements. We see upside to current 2026E revenue and EPS expectations, as the benefits of the recent H3 launch and upcoming M3 Pro release are, in our view, not yet fully reflected in market forecasts. We believe both models have the potential to drive a meaningful step-up in ARR through stronger user adoption, engagement, and monetisation.

### MiniMax: 2026 revenue and EPS forecast revisions



Source: Bloomberg

## Financial summary

### Key assumptions

| Year to 31 Dec    | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|-------------------|------|------|------|------|------|-------|-------|-------|
| Total ARR (YoY %) | -    | n.a. | n.a. | n.a. | n.a. | 10.0  | 1.0   | 0.9   |
| B2B ARR (YoY %)   | -    | n.a. | n.a. | n.a. | n.a. | 21.0  | 1.2   | 1.1   |
| B2C ARR (YoY %)   | -    | n.a. | n.a. | n.a. | n.a. | 5.3   | 0.6   | 0.5   |

### Profit and loss (USDm)

| Year to 31 Dec                                       | 2021 | 2022           | 2023           | 2024           | 2025            | 2026E          | 2027E          | 2028E          |
|------------------------------------------------------|------|----------------|----------------|----------------|-----------------|----------------|----------------|----------------|
| AI-native products                                   | -    | 0              | 1              | 22             | 53              | 181            | 428            | 891            |
| Open Platform and other AI-based enterprise services | -    | 0              | 3              | 9              | 26              | 196            | 687            | 1,580          |
| Other Revenue                                        | -    | 0              | 0              | 0              | 0               | 0              | 0              | 0              |
| <b>Total Revenue</b>                                 | -    | <b>0</b>       | <b>3</b>       | <b>31</b>      | <b>79</b>       | <b>377</b>     | <b>1,115</b>   | <b>2,472</b>   |
| Other income                                         | -    | 1              | 10             | 38             | 43              | 77             | 114            | 146            |
| COGS                                                 | -    | 0              | (4)            | (27)           | (59)            | (251)          | (676)          | (1,399)        |
| SG&A                                                 | -    | (4)            | (30)           | (101)          | (89)            | (223)          | (312)          | (371)          |
| Other op. expenses                                   | -    | (12)           | (80)           | (227)          | (296)           | (479)          | (839)          | (1,259)        |
| <b>Operating profit</b>                              | -    | <b>(14)</b>    | <b>(101)</b>   | <b>(287)</b>   | <b>(321)</b>    | <b>(499)</b>   | <b>(598)</b>   | <b>(410)</b>   |
| Net-interest inc./(exp.)                             | -    | 0              | 8              | 20             | 9               | 33             | 44             | 31             |
| Assoc/forex/extraord./others                         | -    | (59)           | (176)          | (199)          | (1,559)         | 31             | 31             | 31             |
| <b>Pre-tax profit</b>                                | -    | <b>(74)</b>    | <b>(269)</b>   | <b>(465)</b>   | <b>(1,872)</b>  | <b>(435)</b>   | <b>(523)</b>   | <b>(349)</b>   |
| Tax                                                  | -    | 0              | 0              | 0              | 0               | 0              | 0              | 0              |
| Min. int./pref. div./others                          | -    | 0              | 0              | 0              | 0               | 0              | 0              | 0              |
| <b>Net profit (reported)</b>                         | -    | <b>(74)</b>    | <b>(269)</b>   | <b>(465)</b>   | <b>(1,872)</b>  | <b>(435)</b>   | <b>(523)</b>   | <b>(349)</b>   |
| <b>Net profit (adjusted)</b>                         | -    | <b>(12)</b>    | <b>(89)</b>    | <b>(244)</b>   | <b>(251)</b>    | <b>(335)</b>   | <b>(300)</b>   | <b>(27)</b>    |
| <b>EPS (reported)(USD)</b>                           | -    | <b>(0.737)</b> | <b>(2.556)</b> | <b>(4.282)</b> | <b>(17.226)</b> | <b>(1.388)</b> | <b>(1.666)</b> | <b>(1.112)</b> |
| <b>EPS (adjusted)(USD)</b>                           | -    | <b>(0.121)</b> | <b>(0.846)</b> | <b>(2.248)</b> | <b>(2.309)</b>  | <b>(1.067)</b> | <b>(0.955)</b> | <b>(0.087)</b> |
| <b>EPS (adjusted fully-diluted)(USD)</b>             | -    | <b>(0.121)</b> | <b>(0.846)</b> | <b>(2.248)</b> | <b>(2.309)</b>  | <b>(1.067)</b> | <b>(0.955)</b> | <b>(0.087)</b> |
| <b>DPS (USD)</b>                                     | -    | <b>0.000</b>   | <b>0.000</b>   | <b>0.000</b>   | <b>0.000</b>    | <b>0.000</b>   | <b>0.000</b>   | <b>0.000</b>   |
| <b>EBIT</b>                                          | -    | <b>(13)</b>    | <b>(98)</b>    | <b>(280)</b>   | <b>(297)</b>    | <b>(398)</b>   | <b>(375)</b>   | <b>(89)</b>    |
| <b>EBITDA</b>                                        | -    | <b>(13)</b>    | <b>(97)</b>    | <b>(278)</b>   | <b>(295)</b>    | <b>(385)</b>   | <b>(337)</b>   | <b>(5)</b>     |

### Cash flow (USDm)

| Year to 31 Dec                   | 2021 | 2022        | 2023        | 2024         | 2025         | 2026E        | 2027E          | 2028E        |
|----------------------------------|------|-------------|-------------|--------------|--------------|--------------|----------------|--------------|
| Profit before tax                | -    | (74)        | (269)       | (465)        | (1,872)      | (435)        | (523)          | (349)        |
| Depreciation and amortisation    | -    | 0           | 1           | 2            | 3            | 13           | 38             | 84           |
| Tax paid                         | -    | 0           | 0           | 0            | 0            | 0            | 0              | 0            |
| Change in working capital        | -    | 2           | 26          | 14           | 6            | 22           | (28)           | (101)        |
| Other operational CF items       | -    | 61          | 178         | 191          | 1,583        | 102          | 224            | 322          |
| <b>Cash flow from operations</b> | -    | <b>(11)</b> | <b>(64)</b> | <b>(258)</b> | <b>(280)</b> | <b>(299)</b> | <b>(288)</b>   | <b>(44)</b>  |
| Capex                            | -    | (0)         | (1)         | (1)          | (1)          | (9)          | (28)           | (62)         |
| Net (acquisitions)/disposals     | -    | (35)        | (40)        | (702)        | 47           | 0            | 0              | 0            |
| Other investing CF items         | -    | 0           | 0           | 271          | 26           | (9)          | (27)           | (60)         |
| <b>Cash flow from investing</b>  | -    | <b>(35)</b> | <b>(40)</b> | <b>(431)</b> | <b>72</b>    | <b>(19)</b>  | <b>(55)</b>    | <b>(122)</b> |
| Change in debt                   | -    | 0           | 0           | 33           | 1            | 830          | (830)          | 0            |
| Net share issues/(repurchases)   | -    | 50          | 307         | 740          | 426          | 1,839        | 0              | 0            |
| Dividends paid                   | -    | 0           | 0           | 0            | 0            | 0            | 0              | 0            |
| Other financing CF items         | -    | (0)         | (1)         | (2)          | (4)          | (1)          | (1)            | (1)          |
| <b>Cash flow from financing</b>  | -    | <b>50</b>   | <b>306</b>  | <b>771</b>   | <b>423</b>   | <b>2,668</b> | <b>(831)</b>   | <b>(1)</b>   |
| Forex effect/others              | -    | 0           | 0           | 1            | 3            | 0            | 0              | 0            |
| <b>Change in cash</b>            | -    | <b>4</b>    | <b>202</b>  | <b>83</b>    | <b>219</b>   | <b>2,351</b> | <b>(1,174)</b> | <b>(166)</b> |
| Free cash flow                   | -    | (11)        | (65)        | (259)        | (281)        | (308)        | (316)          | (105)        |

Source: FactSet, Daiwa forecasts

## Financial summary continued ...

### Balance sheet (USDm)

| Year to 31 Dec                        | 2021 | 2022        | 2023         | 2024         | 2025           | 2026E          | 2027E          | 2028E          |
|---------------------------------------|------|-------------|--------------|--------------|----------------|----------------|----------------|----------------|
| Cash & short-term investment          | -    | 5           | 206          | 289          | 508            | 2,858          | 1,684          | 1,518          |
| Inventory                             | -    | 0           | 0            | 0            | 0              | 0              | 0              | 0              |
| Accounts receivable                   | -    | 0           | 1            | 7            | 11             | 68             | 201            | 445            |
| Other current assets                  | -    | 69          | 112          | 510          | 489            | 551            | 703            | 983            |
| <b>Total current assets</b>           | -    | <b>73</b>   | <b>320</b>   | <b>806</b>   | <b>1,007</b>   | <b>3,477</b>   | <b>2,588</b>   | <b>2,946</b>   |
| Fixed assets                          | -    | 0           | 1            | 1            | 2              | 7              | 24             | 62             |
| Goodwill & intangibles                | -    | 0           | 3            | 3            | 2              | 2              | 2              | 2              |
| Other non-current assets              | -    | 0           | 0            | 101          | 77             | 80             | 87             | 101            |
| <b>Total assets</b>                   | -    | <b>74</b>   | <b>324</b>   | <b>911</b>   | <b>1,088</b>   | <b>3,567</b>   | <b>2,702</b>   | <b>3,111</b>   |
| Short-term debt                       | -    | 0           | 0            | 19           | 35             | 35             | 35             | 35             |
| Accounts payable                      | -    | 2           | 17           | 51           | 58             | 120            | 256            | 459            |
| Other current liabilities             | -    | 148         | 646          | 1,637        | 3,640          | 3,722          | 3,851          | 4,084          |
| <b>Total current liabilities</b>      | -    | <b>150</b>  | <b>663</b>   | <b>1,708</b> | <b>3,734</b>   | <b>3,878</b>   | <b>4,143</b>   | <b>4,579</b>   |
| Long-term debt                        | -    | 0           | 0            | 0            | 0              | 0              | 0              | 0              |
| Other non-current liabilities         | -    | 0           | 3            | 2            | 3              | 833            | 3              | 3              |
| <b>Total liabilities</b>              | -    | <b>150</b>  | <b>666</b>   | <b>1,710</b> | <b>3,737</b>   | <b>4,710</b>   | <b>4,145</b>   | <b>4,582</b>   |
| Share capital                         | -    | 0           | 0            | 0            | 0              | 1,839          | 1,839          | 1,839          |
| Reserves/R.E./others                  | -    | (76)        | (342)        | (799)        | (2,648)        | (2,983)        | (3,283)        | (3,310)        |
| <b>Shareholders' equity</b>           | -    | <b>(76)</b> | <b>(342)</b> | <b>(799)</b> | <b>(2,648)</b> | <b>(1,144)</b> | <b>(1,444)</b> | <b>(1,471)</b> |
| Minority interests                    | -    | 0           | 0            | 0            | 0              | 0              | 0              | 0              |
| <b>Total equity &amp; liabilities</b> | -    | <b>74</b>   | <b>324</b>   | <b>911</b>   | <b>1,088</b>   | <b>3,567</b>   | <b>2,702</b>   | <b>3,111</b>   |
| EV                                    | -    | 13,107      | 12,906       | 12,843       | 12,640         | 10,289         | 11,463         | 11,630         |
| <b>Net debt/(cash)</b>                | -    | <b>(5)</b>  | <b>(206)</b> | <b>(269)</b> | <b>(472)</b>   | <b>(2,823)</b> | <b>(1,649)</b> | <b>(1,482)</b> |
| <b>BVPS (USD)</b>                     | -    | <b>n.a.</b> | <b>n.a.</b>  | <b>n.a.</b>  | <b>n.a.</b>    | <b>n.a.</b>    | <b>n.a.</b>    | <b>n.a.</b>    |

### Key ratios (%)

| Year to 31 Dec                 | 2021 | 2022 | 2023 | 2024  | 2025  | 2026E | 2027E | 2028E |
|--------------------------------|------|------|------|-------|-------|-------|-------|-------|
| Sales (YoY)                    | -    | n.a. | n.a. | 782.2 | 158.9 | 377.0 | 195.8 | 121.6 |
| EBITDA (YoY)                   | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Operating profit (YoY)         | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Net profit (YoY)               | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Core EPS (fully-diluted) (YoY) | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Gross-profit margin            | -    | n.a. | n.a. | 12.2  | 25.4  | 33.4  | 39.4  | 43.4  |
| EBITDA margin                  | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Operating-profit margin        | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Net profit margin              | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| ROAE                           | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| ROAA                           | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| ROCE                           | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| ROIC                           | -    | 17.7 | 32.2 | 35.5  | 15.3  | 14.1  | 16.9  | 13.6  |
| Net debt to equity             | -    | 6.1  | 60.3 | 33.7  | 17.8  | 246.8 | 114.2 | 100.8 |
| Effective tax rate             | -    | 0.0  | 0.0  | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   |
| Accounts receivable (days)     | -    | n.a. | 70.6 | 49.7  | 40.9  | 38.0  | 44.0  | 47.7  |
| Current ratio (x)              | -    | 0.5  | 0.5  | 0.5   | 0.3   | 0.9   | 0.6   | 0.6   |
| Net interest cover (x)         | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Net dividend payout            | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |
| Free cash flow yield           | -    | n.a. | n.a. | n.a.  | n.a.  | n.a.  | n.a.  | n.a.  |

Source: FactSet, Daiwa forecasts

## Company profile

Founded in 2021, MiniMax is a leading Chinese foundation model developer focused on full-modality AI and global operations. The company monetises its capabilities through AI-native products, its MaaS platform (Open Platform) and AI-related enterprise solutions.

## A pure-play on China's AI commercialisation

**MiniMax is a leading Chinese foundation model developer focused on full-modality AI and global operation**

Founded in 2021, MiniMax is a leading Chinese foundation model developer focused on full-modality AI and global operation. Reflecting its view that human interaction is inherently multi-modal, the company has built capabilities across text, video and audio from the outset. Leveraging its foundation models, MiniMax has developed a portfolio of AI-native products that serves consumers, developers and enterprises. This has helped it create a flywheel between its model capability and commercialisation, where user adoption generates data and feedback that support continuous model iteration and product optimisation.

### Competitive capability, fractional cost

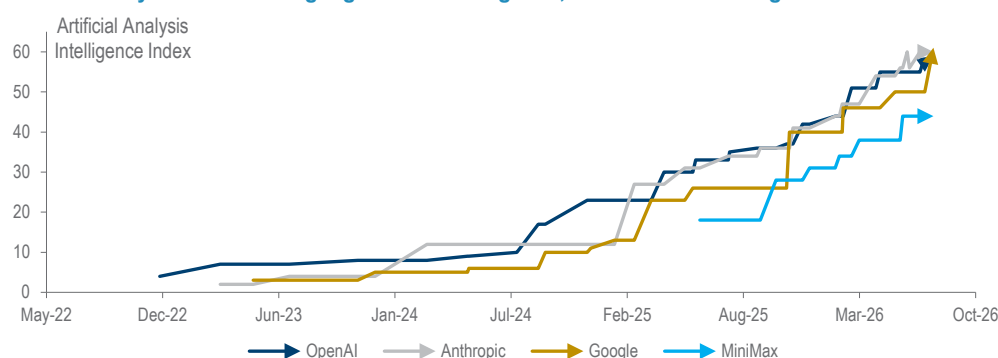
#### MiniMax is closing the capability gap with global developers

Model capability is the core asset of foundation model developers, underpinning user growth, engagement, pricing power and monetisation potential. By emphasising infrastructure efficiency, MiniMax has established a robust track record of developing competitive foundation models while maintaining strong scalability, inference economics and capital efficiency, creating a solid foundation for long-term commercialisation.

The company's latest offerings have steadily narrowed the performance gap with leading Western players across global benchmarks. According to Artificial Analysis, MiniMax's latest flagship model M3, launched in June 2026, scored 44 out of 100 on the Intelligence Index, compared with 55 for OpenAI, 54 for Anthropic and 50 for Google at the time. This marked a meaningful improvement from a year earlier, where M1 scored 18 vs. 33 for Open AI, 31 for Anthropic and 26 for Google. Notably, MiniMax achieved these capability gains with a relatively lean model architecture, underscoring the company's efficiency in model design and training. M3 contains 428bn parameters, substantially below the trillion-parameter scale of leading frontier models such as GPT (OpenAI), Claude (Anthropic) and Gemini (Google).

In our view, MiniMax's ability to narrow the capability gap despite GPU supply constraints in China and lower financial resources than global peers underscore the strength of its underlying technology and R&D execution. As a result, the company has emerged as one of China's leading model developers while becoming increasingly competitive globally.

#### Artificial Analysis: frontier-language model intelligence, December 2022- August 2026



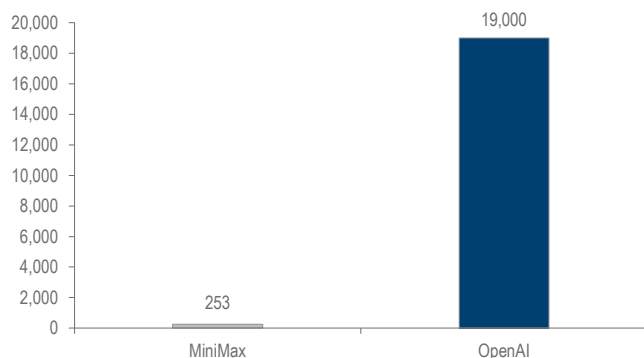
Source: Artificial Analysis (as of 5 August 2026)

#### Cost efficiency as a key competitive advantage

While MiniMax's model performance is closing the gap with that of Western peers, what stands out most to us is the company's ability to achieve this while maintaining strong cost efficiency. MiniMax had only incurred R&D spend of USD522m during FY22-25 (USD253m in FY25), compared with an estimated USD19bn spent by OpenAI in FY25 alone. In addition, MiniMax operates with a lean team of 415 employees as of FY25, significantly

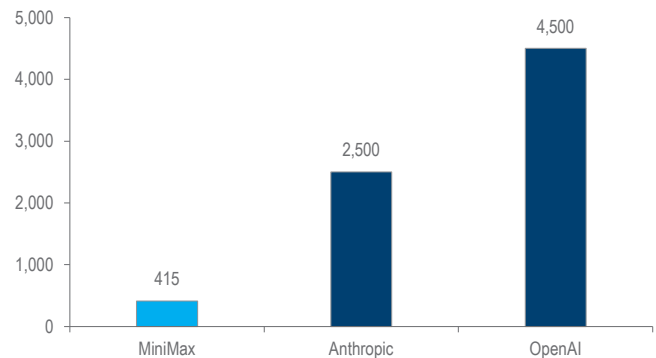
below OpenAI's c.4,500 employees and Anthropic's c.2,500. We view this as evidence of the company's disciplined AI development approach and efficient resource allocation.

**MiniMax: R&D expense comparison, 2025 (USDm)**



Source: Company data, Daiwa estimates

**MiniMax: number of employee comparison, 2025**



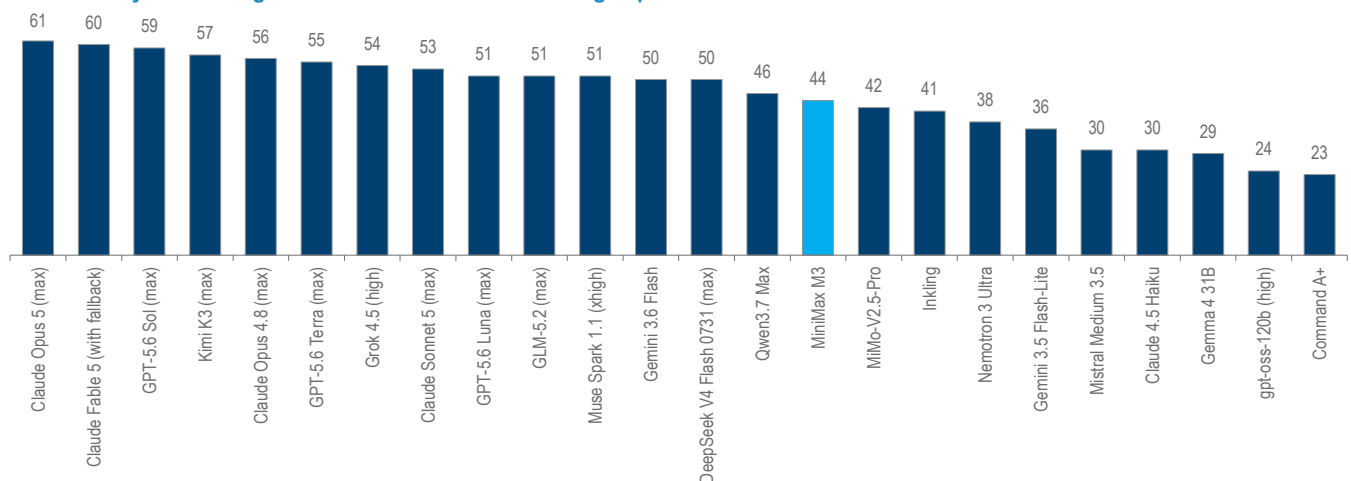
Source: Company data, Daiwa estimates

Through its dual strengths in model capability and R&D efficiency, MiniMax offers one of the most compelling performance-to-cost propositions in the AI industry. According to Artificial Analysis, M3 currently ranks No. 15 globally on the Intelligence Index yet ranks No.6 in terms of the lowest cost on a cost-per-task basis compared with peers. In addition, M3 is one of the few highly ranked models that supports native multi-modal inputs (ie, text, images, and videos), whereas most competing models are primarily optimised for text, enabling a wider range of use cases through a single model architecture.

### Many AI workloads require reliable, scalable performance rather than frontier intelligence

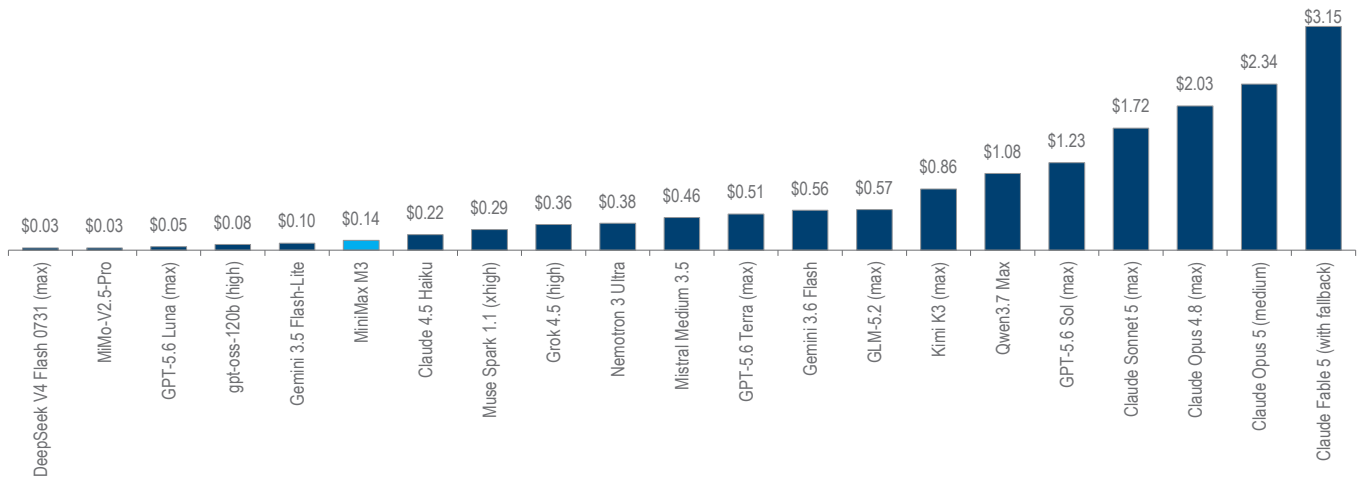
We believe MiniMax's strong performance-to-cost profile is becoming increasingly important as AI adoption scales, with customers prioritising ROI and affordability over marginal capability improvements. Many workloads, including general chats, customer service, and content generation, do not require frontier-level intelligence but rather reliable and scalable performance at attractive economics. By delivering competitive performance at lower inference costs while supporting a broader range of applications, MiniMax improves customer ROI and facilitates deployment, driving growth in user adoption, token consumption, and revenue.

**Artificial Analysis's Intelligence Index – MiniMax's latest flagship model M3 ranked 15th**



Source: Artificial Analysis (as of 5 August 2026)

## Artificial Analysis Cost-per-Intelligence Index



Source: Artificial Analysis (as of 5 August 2026)

Note: Weighted average cost (USD) per Artificial Analysis Intelligence Index task.

This dynamic is particularly relevant for SMEs and developers, where budget constraints often outweigh the need for state-of-the-art capabilities. We thus believe MiniMax's unique "good-enough performance + attractive economics" proposition positions it well to capture cost-conscious demand, with pricing advantages supporting customer acquisition and usage growth.

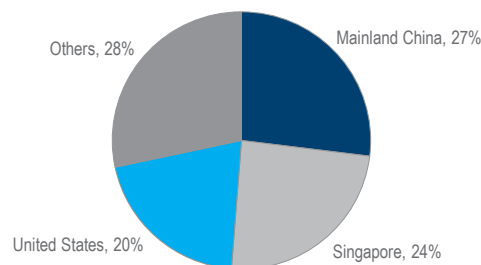
## Global reach unlocking scale and efficiency

**In 9M25, MiniMax generated 73% of total revenue from markets outside Mainland China**

MiniMax has a meaningful global footprint built through early overseas expansion. In 9M25, the company derived 73% of total revenue from markets outside Mainland China, with Singapore, the US, and other overseas markets contributing 24%, 20%, and 28% of total revenue, respectively.

We believe MiniMax's established international presence expands its TAM, presenting significant monetisation potential supported by higher customer purchasing power and AI pricing that remain materially higher than in China. In addition to capturing emerging market opportunities from a larger, fast-growing TAM, exposure to higher-value overseas customers also provide opportunities in lifting ARPU to enhance overall monetisation efficiency. Together, these factors strengthen MiniMax's ability to scale profitably as global AI adoption expands.

### MiniMax: revenue breakdown by geographic market, 9M25



Source: Company



## Multi-modality driving the B2B-B2C flywheel

Since inception, MiniMax has pursued a full-modality strategy, developing foundation models across text, video, speech, and music. This has created a unified foundation for both consumer- and enterprise-facing AI applications, strongly positioning MiniMax in capturing emerging market opportunities from AI applications and agentic workflows, as users increasingly demand richer and more versatile AI experiences.

### MiniMax's full-modality strategy provides strong leverage to the emerging agent economy

We believe MiniMax's multi-modal capabilities are a key differentiator, as AI agents evolve from answering prompts to executing real-world tasks. Unlike single-modality models that can only address partial workflows, agentic applications increasingly require the ability to understand and generate multiple content formats within a single interaction. For example, a travel-planning agent may need to process a user's voice request (speech), search for flights and hotels (text), compare destination images (images) and reviews (text), and generate an itinerary (text). By natively supporting these capabilities, MiniMax can address broader use cases through a single platform. Combined with its industry-leading cost-performance proposition, we believe MiniMax lowers barriers to AI agent development and deployment, supporting wider adoption of the agent economy.

### MiniMax: model portfolio

| Modality | Latest model | Launch date   | Develop timespan from previous version | Model description                                        | Ranking                                                                                                                                                                                 |
|----------|--------------|---------------|----------------------------------------|----------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Text     | M3           | June 2026     | 3 months (from M2.7)                   | Reasoning model<br>428bn parameters (vs. 230bn for M2.7) | No. 15 on the Artificial Analysis Intelligence Index                                                                                                                                    |
| Video    | H3           | July 2026     | 8 months (from Hailuo 2.3)             | Multi-modal video generation model<br>Open-sourced       | No. 2 on the Artificial Analysis text-to-video leaderboard<br>No. 3 on the Artificial Analysis image-to-video leaderboard<br>No. 1 on the Artificial Analysis video editing leaderboard |
| Speech   | Speech 2.8   | February 2026 | 4 months (from Speech 2.6)             | Multilingual voice generation                            | No. 10 on the Artificial Analysis text-to-speech leaderboard                                                                                                                            |
| Music    | Music 3.0    | July 2026     | 3 months (from Music 2.6)              | Music generation                                         | No. 7 on the Artificial Analysis Instrumental leaderboard (Music 2.6)<br>No. 5 on the Artificial Analysis Vocals leaderboard (Music 2.5+)                                               |
| Image    | Image-01     | February 2025 | n/a                                    | Image generation                                         | No. 102 on the Artificial Analysis text-to-image leaderboard                                                                                                                            |

Source: Company, Artificial Analysis (as of 5 August 2026)

## The B2B and B2C dual business model

Leveraging its multi-modal model suite, MiniMax has built 2B (Open Platform and other AI-based enterprise services) and 2C (AI-native products) business models. On the consumer-facing end, MiniMax's product portfolio includes Talkie/Xingye, Hailuo AI, MiniMax and MiniMax Audio, spanning entertainment, content creation and productivity use cases. As of FY25, MiniMax cumulatively served over 236m users across over 200 countries and regions, and AI-native products accounted for 67% of total revenue in FY25.

On the 2B side, MiniMax mainly delivers services through its Open Platform, a MaaS offering that enables enterprises and developers to integrate MiniMax's capabilities into their own products. Monetisation is primarily usage-based, with customers charged based on token, video and audio consumption, alongside subscription plans for recurring access. This creates a scalable revenue model directly linked to customer activity while expanding MiniMax's ecosystem reach across applications and industry verticals. The company had cumulatively served over 214,000 enterprise customers and developers as of FY25, with Open platform and other AI-based enterprise services contributing 33% of revenue.

### Consumer ecosystem powering the technology-as-product strategy

We view MiniMax's consumer ecosystem as a key pillar of its technology-as-product strategy, creating a flywheel between innovation and commercialisation. By integrating model advancements directly into consumer-facing applications, MiniMax can rapidly monetise new capabilities without developing business models. These applications also serve as testing grounds for new features, generating user feedback and data that support product optimisation and accelerate model iteration. More importantly, they help MiniMax



build product know-how needed to make AI accessible and intuitive for end users. This creates a self-reinforcing cycle where technological advances improve user experience, while real-world usage enhances products and model performance.

#### MiniMax: AI-native product portfolio

| Product       | Launch date | Product description                | Monthly subscription price                | Underlying models              | Monetisation models                                                                | MAU (m) | Paying users (m) | Paying ratio (%) | Revenue (USDm) |
|---------------|-------------|------------------------------------|-------------------------------------------|--------------------------------|------------------------------------------------------------------------------------|---------|------------------|------------------|----------------|
| Talkie/Xingye | Sept 2023   | Multi-modal entertainment platform | Talkie: USD1.49-29.99<br>Xingye: CNY11-35 | Text, video, speech, and music | - Freemium<br>- Subscriptions<br>- In-app purchases<br>- Online marketing services | 20.05   | 1.39             | 6.9%             | 18.8           |
| HailuoAI      | Aug 2024    | Visual generation platform         | USD9.99-199.99                            | Video                          | - Freemium<br>- Subscriptions<br>- In-app purchases                                | 5.65    | 0.31             | 5.5%             | 17.5           |
| MiniMax Audio | May 2025    | Audio generation tool              | USD5-99                                   | Speech and music               | - Freemium<br>- Subscriptions<br>- In-app purchases                                | 0.49    | 0.06             | 12.1%            | 1.1            |
| MiniMax       | Mar 2025    | Intelligent agent application      | USD19-69                                  | Text, video, speech, and music | - Freemium<br>- Subscriptions<br>- In-app purchases                                | 1.43    | 0.01             | 0.7%             | 0.8            |
| MiniMax Code  | Jun 2026    | Coding agent                       | USD20-120                                 | Text, video, speech, and music | - Freemium<br>- Subscriptions<br>- In-app purchases                                | n/a     | n/a              | n/a              | n/a            |
| MiniMax Hub   | Jun 2026    | Desktop AI workstation             | USD10.5-215                               | Text, video, speech, and music | - Freemium<br>- Subscriptions<br>- In-app purchases                                | n/a     | n/a              | n/a              | n/a            |

Source: Company

Note: MAU, paying user, paying ratio and revenue are based on 9M25 data.

**The proliferation of agentic workflows is driving API/MaaS demand as enterprises deploy AI into business processes**

#### B2B business scaling the commercialisation flywheel

On the B2B end, we expect the proliferation of agentic workflows to drive demand for API/MaaS as enterprises increasingly embed AI into business processes. In our view, MiniMax's full-modality model portfolio and improving capabilities should enable the company to capture a growing share of enterprise AI spending. We expect B2B revenue growth to outpace B2C over time, as enterprise customers typically consume AI at a larger scale and on a recurring basis. Rising token consumption from AI applications and agents should translate into sustained API/MaaS demand, supporting a more scalable revenue model and stronger long-term growth visibility.

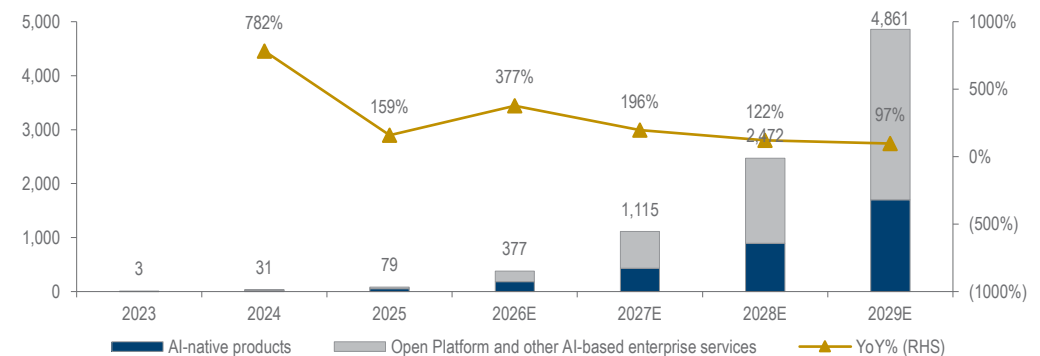
## Financial analysis

**We expect B2B revenue growth to outpace 2C as enterprises scale AI deployment**

### We forecast a 180% revenue CAGR over 2025-29E

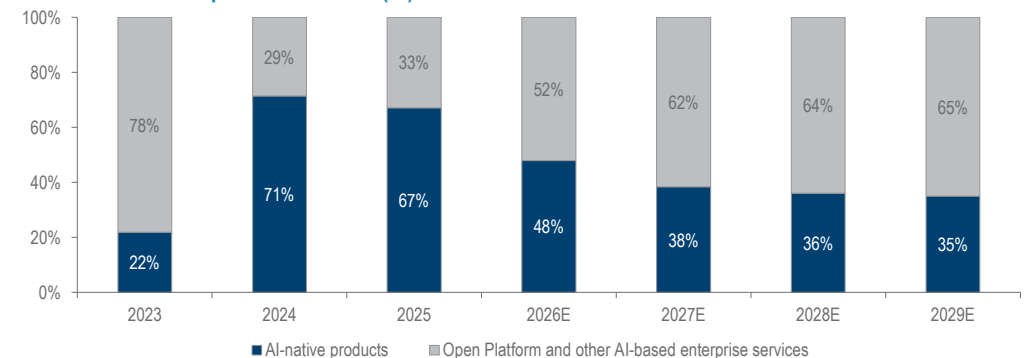
We forecast MiniMax's total revenue to grow at a 180% CAGR during 2025-29E, with revenue from Open Platform and other AI-based enterprise services (232% 2025-29E CAGR) outpacing that of AI-native products (138% 2025-29E CAGR). In our view, B2B revenue will likely see significant growth as companies race to integrate AI into everyday workflows in a competitive efficiency race, supporting a scalable recurring revenue stream. Meanwhile, consumer products should also maintain robust growth on rising user adoption.

#### MiniMax: revenue for 2023-29E (USDm)



Source: Company data, Daiwa forecasts

#### MiniMax: revenue split for 2023-29E (%)

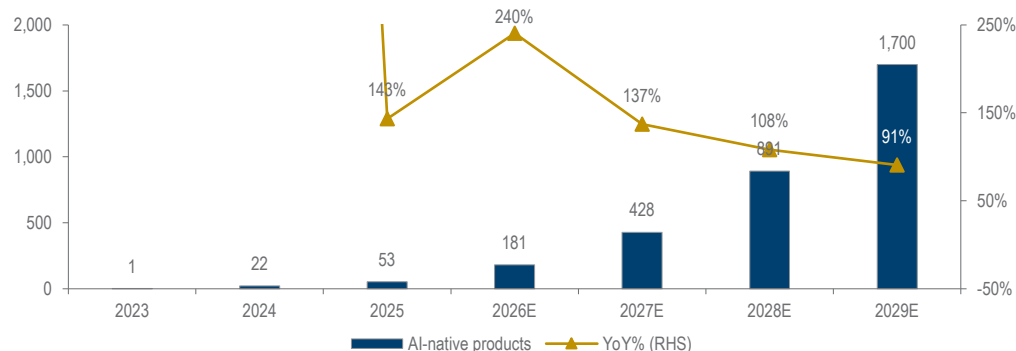


Source: Company data, Daiwa forecasts

### AI-native products: 138% revenue CAGR over 2025-29E

We expect AI-native product revenue to deliver a 2025-29E CAGR of 138%, driven by rising user adoption and monetisation. We see upside to our forecasts as MiniMax continues to advance capabilities and expand product portfolio. For instance, the upcoming release of M3 Pro (3tn parameter, target for Sep-Oct) could drive a step-up in ARR as technological breakthroughs further stimulate market demand. Beyond model upgrades, we do not expect the company's product offerings or business models to remain static given the rapid pace of industry evolution. Instead, we anticipate MiniMax will continue introducing new products, such as MiniMax Code (coding agent) and MiniMax Hub (desktop AI workstation), while exploring additional monetisation channels including advertising and transaction-based commissions alongside its existing subscription and virtual-item businesses.

### MiniMax: AI-native product revenue for 2023-29E (USDm)

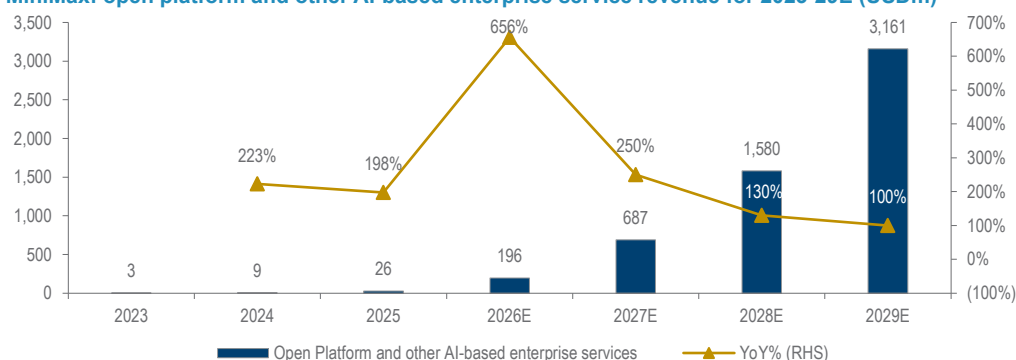


Source: Company data, Daiwa forecasts

### Open Platform: 232% revenue CAGR over 2025-29E

We view MiniMax's enterprise-facing business as its primary growth driver over the coming years, supported by rising enterprise AI spending, improving model capabilities and global expansion. Fast adoption of consumer AI applications has validated real-world use cases while accelerating product refinement and reducing deployment barriers. As a result, enterprises are becoming increasingly willing to embed AI into business workflows, backed by clearer ROI and a growing pool of proven applications, driving higher API/MaaS demand and token consumption. We see particularly strong opportunities in overseas markets, where higher AI spending and greater willingness to pay create a favourable operating environment. We expect the 2B segment to outpace 2C growth over time, as enterprise revenue is characterized by large-scale, recurring, and strong stickiness.

### MiniMax: open platform and other AI-based enterprise service revenue for 2023-29E (USDm)



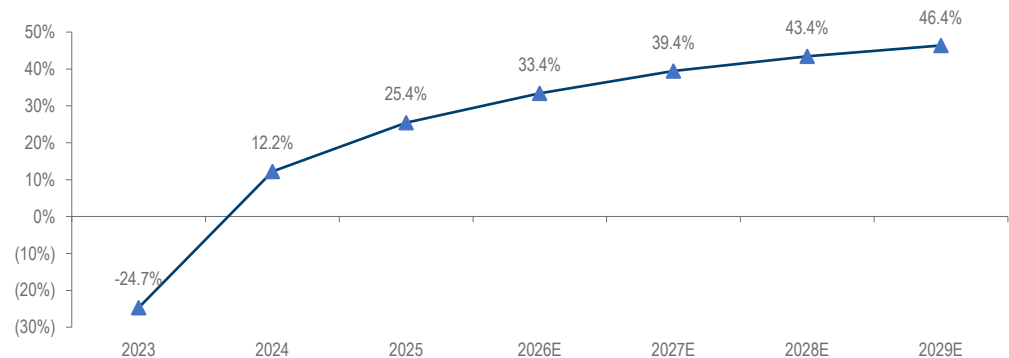
Source: Company data, Daiwa forecasts

**We forecast gross margin expansion over our forecast horizon driven by technology-led efficiency gains and economies of scale**

### GPM to trend-up on inference efficiency gains and scale

MiniMax's COGS mainly comprises cloud services costs related to inference activities, accounting for 93% of total COGS in 9M25. The company has achieved meaningful efficiency gains over time, with cloud service costs as a % of revenue declining from 118% in 2023 to 85% in 2024 and further to 71% in 9M25, driven by ongoing optimisation of model architecture and infrastructure, higher compute utilisation efficiency, and scale benefits. These improvements have been the primary driver of MiniMax's GPM expansion, with GPM improving from -25% in FY23 to 25% in FY25. Looking ahead, we expect continued investment in R&D to drive further advancements in model and inference efficiency, while increasing scale should provide additional cost leverage. As a result, we forecast GPM to expand to 46% by 2029E.

MiniMax: gross margin, 2023-29E (%)



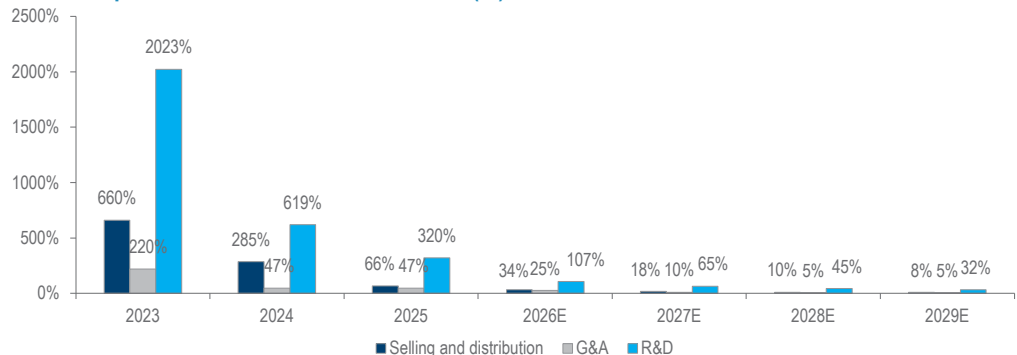
Source: Company data, Daiwa forecasts

## Adjusted net losses to narrow on operating leverage

**We expect adjusted net margin to improve on operating leverage across R&D and selling and distribution expenses**

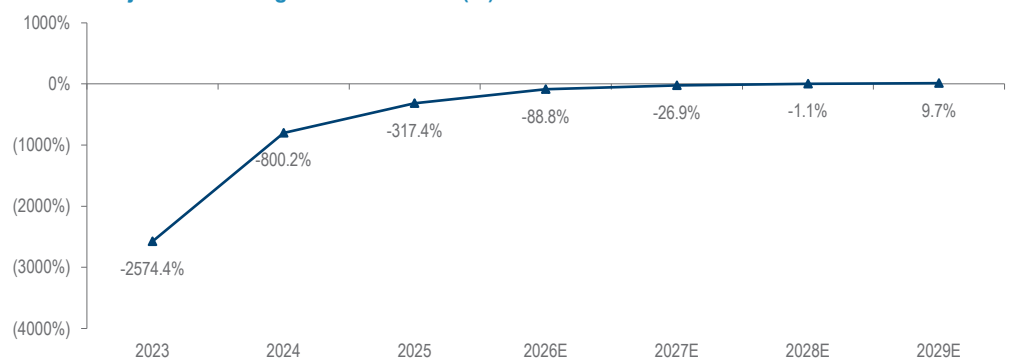
We expect MiniMax to narrow losses during 2026-28E and turn profitable in 2029E as operating leverage improves, particularly across R&D and selling and distribution expenses. On R&D, while training costs (79% of total R&D expense in 9M25) are likely to remain elevated amid intense competition in model development, accelerating commercialisation should drive R&D as % of revenue lower, in our view, from 320% in 2025 to 32% in 2029E. MiniMax has a dedicated in-house AI infrastructure team and efficiency-focused training framework, which we believe will further enhance training efficiency over time. On the selling and distribution expense front, we expect increasing revenue scale to support operating leverage, although fluctuations may occur alongside new product launches that require additional marketing investment. We forecast adjusted NPM to improve from -317% in 2025 to +10% by 2029E.

MiniMax: opex to revenue ratio over 2023-29E (%)



Source: Company data, Daiwa forecasts

MiniMax: Adjusted net margin over 2023-29E (%)



Source: Company data, Daiwa forecasts

## Valuation methodology and risks

### Initiating coverage with a Buy (1) rating

We initiate coverage of MiniMax with a Buy (1) rating and 12-month TP of HKD530, as we see the company as a direct beneficiary of the AI commercialisation boom in China. We believe MiniMax is well suited to the next phase of AI adoption, where commercial viability and scalable deployment are key enterprise requirements.

**We assign 5x EV/ARR to MiniMax's 2029E average ARR**

We derive our 12-month TP by applying 2029E EV/ARR multiple of 5x and discounting it back 2.5 years at a discount rate of 15%. Our 2029E EV/ARR of 5x represents a substantial discount to peer valuations, including OpenAI (25x based on the last round EV/ARR on street estimates), Anthropic (16x), and MoonShot (63x), as implied by reported transactions. We believe frontier model developers focused on advancing state of the art intelligence command a valuation premium due to their strategic scarcity and technological leadership. In comparison, MiniMax's strategy is centred on commercial applicability, efficient deployment and monetisation, which we believe warrants a relatively conservative valuation framework.

While Minimax's stock price has declined more than 70% from its peak of HKD1,238 in March amid intensifying competition among foundation model developers and uncertainty surrounding monetisation timelines, we believe the sell-off has been excessive relative to the company's fundamentals and growth prospects. In our view, the recent weakness has created an attractive entry point ahead of multiple upside catalysts that support a valuation rerating in the next 12 months.

#### MiniMax: valuation summary

|                                  | 2029E         |
|----------------------------------|---------------|
| Sales (USDm)                     | 4,861         |
| Average ARR (USDm)               | 5,715         |
| Target EV/ARR multiple (x)       | 5x            |
| <b>Enterprise value (USDm)</b>   | <b>28,575</b> |
| Net debt (USDm)                  | -1,795        |
| <b>Equity value (USDm)</b>       | <b>31,094</b> |
| Shares outstanding (m)           | 314           |
| <b>Discount rate (%)</b>         | <b>15%</b>    |
| Equity market premium            | 7.0%          |
| Risk free rate                   | 4.7%          |
| Beta                             | 1.5           |
| Years to discount                | 2.5           |
| <b>Target price in 12M (HKD)</b> | <b>530</b>    |

Source: Daiwa estimates

### Key catalysts to watch

Following the release of M3 in June 2026, MiniMax continues to demonstrate strong competitiveness in both model performance and cost-efficiency, reinforcing our long-term investment thesis. In addition, its latest **video generation model H3 launch** in late-July has gained robust traction, with top rankings on Artificial Analysis (No.2 in text-to-video, No.3 in image-to-video, and No.1 in video editing). By open-sourcing H3, MiniMax can accelerate adoption and ecosystem development, helping lower customer acquisition costs while supporting revenue growth over time. Model line-up wise, management has teased a **3tn parameter model M3 Pro set to launch in Sep-Oct**, which could deliver meaningful capability gains and represent another technological milestone. We expect these model launches and continued traction to drive a meaningful step-up in ARR and boost investor sentiment, potentially leading to a rerating from current valuation levels. Notably, Z.AI announced in July that it had already achieved its annual ARR target of USD1bn, and we believe MiniMax could be on a similar trajectory.

**Intensified competition among AI model developers is the primary risk to our call****Risks to our call**

**Intensified competition among AI model developers – primary risk.** The foundation model industry remains highly competitive, with rapid technological advancements, continuous product innovation and evolving customer demands. Failure to sustain rapid model iteration and competitive model performance could weaken MiniMax's market position, leading to market share erosion, weaker customer adoption and declining pricing power.

**Execution risk in R&D investments.** MiniMax's key competitive advantage is built on its ability to continuously advance model capabilities while maintaining strong economic efficiency. Sustaining this advantage requires disciplined execution across compute utilization, model development, and R&D resource allocation. Any inefficiencies in these areas could lead to cost escalation, reducing profitability and weakening cash flow.

**Compute supply and cost risks.** Computing capacity is a critical resource for AI model developers, underpinning both model training and inference deployment. Constraints in GPU supply, including those arising from export controls and trade restrictions, as well as rising computing infrastructure costs, could slow MiniMax's model iteration pace, increase operating expenses, and constrain the scalability of its products and services.

**Financing risk.** Given MiniMax's history of operating losses and negative operating cash flow since inception, the company may require additional funding if monetisation and revenue scaling are slower than expected. That said, we believe near-term financing risk is limited following the company's strong capital raising activities, including c.USD600m from its IPO and a subsequent c.USD2bn equity and convertible bond financing in July, which significantly strengthened its liquidity position. We believe the current cash buffer provides substantial funding runway to support continued R&D investment and commercialisation efforts.

**Copyright and licensing risks.** MiniMax faces copyright infringement lawsuit in the US related to Hailuo AI, with major Hollywood studios, including Disney, Universal, and Warner Bros. Discovery, alleging unauthorised use and generation of copyrighted characters and content. An adverse ruling could result in financial penalties and/or operational restrictions on products or features. More broadly, as generative AI continues to evolve, intellectual property rights remain a key legal uncertainty, with the potential for additional claims from content owners and rising compliance and licensing costs across the industry.



## ESG analysis

### ESG opportunities

| Opportunities                  | Management | Analyst comments                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>G</b> Strong ESG commitment | 2          | MiniMax integrates ESG values into its corporate strategy and operations. The company has identified 24 key ESG issues, such as environmental compliance and employee welfare, and regularly assess their impact long-term development. MiniMax also emphasizes suppliers' ESG performance, aiming to build sustainable partnerships and promote ESG standards across its ecosystem. |

### ESG risks

| Risks                                     | Management | Analyst comments                                                                                                                                                                                                                                                                                             |
|-------------------------------------------|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>G</b> Executive/board quality          | 2          | 33% of the board comprises independent directors, while directors bring extensive experience across leading internet, technology and investment firms.                                                                                                                                                       |
| <b>G</b> Capital management               | 2          | Given its loss-making status, the company has yet to initiate dividend payout or share buybacks.                                                                                                                                                                                                             |
| <b>G</b> Related party & transaction      | 1          | There is no evidence of any suspicious related-party transactions.                                                                                                                                                                                                                                           |
| <b>S</b> Data security                    | 2          | MiniMax maintains a multi-layered data security framework covering governance, technology and operations, complies with cybersecurity and data protection regulations, limits data collection to necessary purposes, and safeguards data throughout its lifecycle via strict protection controls.            |
| <b>S</b> Customer privacy                 | 2          | MiniMax embeds privacy-by-design, maintains dedicated data protection teams, implements data breach response mechanisms, and safeguards user privacy through compliance measures.                                                                                                                            |
| Company specific                          | Management | Analyst comments                                                                                                                                                                                                                                                                                             |
| <b>G</b> Intellectual property protection | 2          | MiniMax faces copyright infringement litigation related to the alleged unauthorized use of copyrighted content. However, the company has implemented comprehensive intellectual property management systems and dedicated legal oversight to mitigate IP risks throughout the product development lifecycle. |

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Aug 2026

Source: Daiwa, Company

## Daiwa's Asia Pacific Research Directory

| HONG KONG         |                 |                                                                                                                                                                                                                                                                      |
|-------------------|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
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| Steven NIE        | (852) 2848 4464 | steven.nie@hk.daiwacm.com<br><i>Consumer (Hong Kong/China); Global Cryptocurrency</i>                                                                                                                                                                                |
| Siman CHEN        | (852) 2532 4350 | siman.chen@hk.daiwacm.com<br><i>Consumer (Hong Kong/China)</i>                                                                                                                                                                                                       |
| Jing YANG         | (852) 2532 4308 | jing.yang@hk.daiwacm.com<br><i>Head of China Healthcare</i>                                                                                                                                                                                                          |
| John CHOI         | (852) 2773 8730 | john.choi@hk.daiwacm.com<br><i>Head of China Internet; Regional Head of Emerging Opportunities</i>                                                                                                                                                                   |
| Dennis IP         | (852) 2848 4068 | dennis.ip@hk.daiwacm.com<br><i>Head of Asia ex-Japan Power, Utilities, Renewables &amp; ESS (PURE) Research; US &amp; CN Power Equipment (Gas, Nuclear, Solar, Grid, Battery &amp; Rare Earth Materials); Tech Hardware – AIDC Power, PCB, Optical Fiber (China)</i> |
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| Marco ZENG        | (852) 2848 4430 | marco.zeng@hk.daiwacm.com<br><i>Power, Utilities, Renewables and ESS (PURE) – US Power, PCB (China)</i>                                                                                                                                                              |

| CHINA      |                   |                                                                                                                    |
|------------|-------------------|--------------------------------------------------------------------------------------------------------------------|
| Louis LUO  | (86) 21 6841 3282 | louis.luo@daiwacm.cn<br><i>Automobiles and Components, Industrials (China)</i>                                     |
| Mavis MA   | (86) 21 6841 3288 | mavis.ma@daiwacm.cn<br><i>Battery Components; Industrials (China)</i>                                              |
| Leo LU     | (86) 21 6841 3286 | leo.lu@daiwacm.cn<br><i>Power, Utilities, Renewables and ESS (PURE) – Solar, ESS, Lithium, AIDC Power (China)</i>  |
| Skye LIANG | (86) 21 6841 3207 | skye.liang@daiwacm.cn<br><i>Power, Utilities, Renewables and ESS (PURE) – Grid, Wind and Optical Fibre (China)</i> |
| William WU | (86) 21 6841 3200 | william.wu@daiwacm.cn<br><i>Property (China/Hong Kong)</i>                                                         |
| Bintuo NI  | (86) 21 6841 3228 | bintuo.ni@daiwacm.cn<br><i>Tech Hardware and Semiconductors (China)</i>                                            |

| SOUTH KOREA   |                 |                                                                                                                                    |
|---------------|-----------------|------------------------------------------------------------------------------------------------------------------------------------|
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